8.8.1. Objectives of BRICS

1. To increase trade co-operation by making an exclusive trade block.
2. To use currency other than US Dollar. Since Dollar is a dominant currency and US can control the flow of dollar, BRICS helps in the countries operating with alternative currencies. How far have they succeeded in this respect? Not much.
3. To increase regional co-operation.
4. To create a separate trade block made for developing countries for trade co-operation.

8.8.2. Functions of BRICS

1. It acts as a promoter of more legitimate international system and also advocating reform of the UN Security Council.
2. This group of nations is especially meant for South-South framework for cooperation.
3. It performs as an agent to bridge the increasing gap between developed and developing countries. For instance, in the WTO, the BRICS countries are emphasizing to promote a fair order regarding agricultural policies.
4. It performs a commendable contribution for assisting developing countries in gaining in areas such as an advantage in trade and climate change negotiations.
5. It disseminates information and exchange platform beyond economic cooperation.
6. It acts as a catalytic in protecting the interests of middle powers on global forum.

8.8.3 Achievements of BRICS

Following are some of the major achievements of BRICS.

- The establishment of the Contingent Reserve Arrangement (CRA) has further deepened and consolidated the partnership of its members in the economic-financial area.
- In the sixth BRICS summit in Brazil, the member countries, signed an agreement to create a development bank (New Development Bank) with headquarters at Shangai, China in 2015 on the lines of Asian Development Bank and the World Bank.
- The economic potential and demographic development are putting the BRICS countries, increasingly in a leading position in setting the global agenda and having a greater say in the global governance.

It has to be remembered that BRICS share 43% of world population, but only 21% of the global GDP.

Summary:

The present chapter on International Economic Organisations discusses the role played by the IMF in solving the problem of trade related issues and credit facilities. The financial, regulatory and consultative functions of IMF and its benefits to India have been dealt with. Further, the objectives, functions and achievements of the World Bank and WTO have been covered.

12-Economics-Chapter_8.indd 170 23-12-2022 14:45:01